BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

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Prepared Testimony of:

Staff Earnings Adjustment
Mechanisms Panel

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Q. Members of the Staff Earned Adjustments Mechanisms Panel (Panel), please state your names, employer, and business address.

A. Our names are Robert Cully, Kathryn Mammen, Laurie Kokkinides and Davide Maioriello. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, NY 12223.

Q. Have each of the members of the Panel already discussed their credentials in testimony submitted in these proceedings?

A. Yes. Mr. Cully's, Ms. Mammen's, and Ms. Kokkinides' credentials are provided in the direct testimony of the Staff Efficiency and Sustainability Panel. Mr. Maioriello's credentials are provided in the direct testimony of the Staff Gas Supply Panel.

Q. What is the purpose of the Panel's testimony?

A. We will provide a summary and our recommendations regarding The Brooklyn Union Gas Company d/b/a National Grid NY's (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid's (KEDLI) (jointly, the Companies) proposed

Earnings Adjustment Mechanisms (EAMs), Platform Service Revenues (PSRs), KEDLI's EmPower Replacement Program Incentive Mechanism, and Non-Pipes Alternatives (NPA) process and associated Incentive Mechanism.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information produced during the discovery phase of these proceedings?

A. Yes, we will refer to, and have relied upon, several responses to Department Staff and other party Information Requests (IRs), which are referred to by the Department or other parties' given designation (e.g., DPS-123). The IRs that we rely upon are included in Exhibit___(SEAMP-1).

Q. Is the Panel sponsoring any other exhibits with its testimony?

A. Yes, we are also sponsoring five additional exhibits with our testimony.

Q. Please describe these exhibits.

A. Exhibit___(SEAMP-2) provides an overview of our EAM proposals.

Exhibit___(SEAMP-3) shows how we developed our Share the Savings EAM metric.

Exhibit___(SEAMP-4) provides data regarding the Companies' proposed Affordability EAM metric. Exhibit___(SEAMP-5) compares our recommended Utility Energy Services Contracts Platform Service Revenue with the Companies' proposal. Exhibit___(SEAMP-6) provides data regarding the KEDLI EmPower Replacement Program.

Q. What is the Rate Year in these proceedings?

A. The Rate Year is the 12 months ending March 31, 2021. The Companies referred to Data Years as follows: Data Year 1 is the 12 months ending March 31, 2022; Data Year 2 is the 12 months ending March 31, 2023; and Data Year 3 is the 12 months ending March 31, 2024. For ease of reference, we will use the same references here as the Companies did in their testimony.

EARNINGS ADJUSTMENT MECHANISMS

Q. Provide a brief overview of EAMs.

A. EAMs are metrics with targets and associated earnings opportunities designed to align utility shareholder interests with New York State energy policy goals. If the utility meets the EAM targets, benefits are achieved, and utility

shareholders earn financial rewards. The Commission initially approved EAMs in the May 19, 2016 Order Adopting a Ratemaking and Utility Revenue Model Policy Framework in Case 14-M-0101, referred to as the Track Two Order.

Q. Provide a brief overview of the EAM requirements set forth in the Track Two Order.

A. Pages 59-60 of the Track Two Order explained the Commission's expectation that EAMs would play a transitional role until other forms of market-based revenues are available. The Track Two Order established the Commission's preference for: outcome-based EAMs, see pages 61-65; EAMs that are generally positive-only, see pages 66-67; a maximum amount of earnings totaling 100 basis points, see page 68; and establishing EAM awards on a sliding scale with the size of awards growing with greater achievement, see page 77. The Track Two Order also set the Commission's expectations for the types of EAM metrics it would consider and stated that rate proceedings are the proper venue for developing EAMs.

Q. What EAM metrics were discussed in the Track Two

Order?

A. In general, the Track Two Order discussed EAMs designed predominantly for electric utilities only. The Track Two Order implemented a System Efficiency EAM based on both peak load reduction and improvements in load factor, see pages 73-77; an Energy Efficiency EAM based on achieving greater energy efficiency program savings or cost savings and electric usage intensity across the utility's territory, see pages 82-83; and an Interconnection EAM based on an evaluation of application quality and satisfaction of applicants with the process, see pages 86-87. Although the Track Two Order states, on page 89, that no general EAM is necessary for Customer Engagement and Information Access, it did invite proposals for such an EAM based on customer uptake for opt-in innovative rates and initiatives related to electric vehicle adoption and ground source heat pumps, as explained on pages 89-90. Similarly, on pages 90-91, the Track Two Order invited proposals related to incentivizing greenhouse gas reductions.

Q. Have there been other proceedings since the

Track Two Order that indicate the way the Commission currently views EAMs?

A. Yes, there have been two other statewide policy proceedings, as well as further developments in recent rate proceedings, which demonstrate the Commission's current stance toward EAMs and our recommendations in these proceedings. Following the Track Two Order, EAMs have been developed within rate proceedings. The Commission has approved various EAMs in the rate proceedings for Consolidated Edison Company of New York, Inc. (Con Edison) in Case 16-E-0060, Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk) in Case 17-E-0238, Central Hudson Gas & Electric Corporation (Central Hudson) in Case 17-E-0459, and Orange and Rockland Utilities, Inc. (O&R) in Case 18-E-0067.

Q. Are there any common features of the EAM portfolios approved by the Commission as part of these recent rate proceedings of other utilities?

A. Yes. The Commission approved an outcome-based electric Peak Reduction metric at Niagara

Mohawk, Central Hudson, and O&R. The Commission has approved programmatic energy efficiency metrics based on achieving greater energy savings through utility-run energy efficiency programs, most for both the utilities' electric and gas businesses, and electric-only outcome-based greenhouse gas reduction metrics based on increased adoption of carbon dioxide (CO2) reducing technologies for Con Edison, Niagara Mohawk, Central Hudson, and O&R. There are a number of other common features of EAM portfolios which have been approved by the Commission for Con Edison, Niagara Mohawk, Central Hudson, and O&R. However, since these metrics are electric-only, their relevance to the Companies' gas-only businesses in these proceedings is limited.

Q. Please describe the first statewide policy proceeding in which the Commission has further refined its position on EAMs.

A. On March 15, 2018 in case 15-M-0252, the Commission issued its Order Authorizing Utility-Administered Energy Efficiency Portfolio Budgets and Targets for 2019–2020 (March 2018 Energy

Efficiency Order). On pages 20-27 of this Order, the Commission required all programmatic EAMs proposed after March 15, 2018 to be calculated and awarded based on verified gross energy savings. On page 28 o the order, the Commission also required that the utilities file an Evaluation Measurement & Verification (EM&V) plan demonstrating when and how EM&V activities will be performed to support awarding EAM financial incentives based reported energy efficiency savings.

Q. Please define gross savings.

A. Gross savings are energy savings that result directly from program-related actions taken by participants in an energy efficiency program, regardless of why they participated. This topic is also discussed in the direct testimony of the Staff Efficiency and Sustainability Panel.

Q. Please define verified gross savings.

A. Verified gross savings are the values reported by an independent evaluator after the energy efficiency program activities and gross savings analysis are complete. Verified gross savings are distinct from gross savings in two ways.

First, verified gross savings are the product of a complete gross savings analysis using methods consistent with industry standard best practices. Second, verified gross savings are produced by an independent evaluator, not by the utility.

Q. Please define the process used to determine verified gross savings.

A. As part of the energy efficiency budgets, each utility has also been provided a budget for EM&V activities and studies. EM&V is a broadly inclusive description of any activities intended to determine energy efficiency program impacts, including quantifying the savings realized by the program. The ratio of the savings determined after verification to the gross savings is called the verified gross savings realization rate.

Q. Please describe the second statewide policy proceeding in which the Commission has further refined its position on EAMs since the Track Two Order?

A. On December 13, 2018 in case 18-M-0084, the Commission issued the Order Adopting Accelerated

Energy Efficiency Targets (December 2018 Energy Efficiency Order). In this Order, the Commission established a new paradigm in Energy Efficiency EAMs by requiring utilities to develop and propose new “share the savings” EAMs related to their energy efficiency programs. On page 68 of the December 2018 Energy Efficiency Order, the Commission states that EAMs for energy efficiency programs will continue to be developed in individual rate proceedings, using benchmarked dollars-per-lifetime-million British Thermal Unit (MMBTU) costs. In addition, on page 69 of the December 2018 Energy Efficiency Order, the Commission also required that such EAMs be designed to share any cost savings achieved below authorized budgets or by achieving significantly greater energy savings for the same budget. To encourage longer lived savings and discourage over-reliance on measures with shorter estimated useful lives, the Commission required programmatic energy efficiency EAMs to use a dollars-per-lifetime MMBTU basis. On pages 67 and 68 of the Order, the Commission expressed its preference for

"share the savings" energy efficiency EAMs, as they measure near term results commensurate with the length of three-year rate plans. As a corollary, the Commission explained its reduced reliance on Energy Intensity EAMs as they are better suited for measuring longer term trends than the length of three-year rate plans.

Q. Provide an overview of the Companies' EAM proposals.

A. KEDLI and KEDNY's EAM proposals are included in two documents. First, the Companies initially proposed a set of EAMs as part of the direct testimony of the Future of Heat Panel (FOH Panel). Second, the Companies proposed an update to the Incremental Energy Efficiency EAM to include targets based on gross savings as opposed to net savings of EAMs in the Corrections and Updates Testimony of The FOH Panel.

EAM Overview

Q. Provide an overview of the EAM proposals contained in the direct testimony of KEDLI and KEDNY's FOH Panel.

A. In its direct testimony, the FOH Panel describes the Companies EAM metric development, measurement, and target-setting methodologies for its proposed metrics. The Companies propose three categories of EAMs: (1) System Efficiency; (2) Energy Efficiency; and (3) Carbon Reduction. The Companies propose a total of six EAM metrics within these three categories. On page 97 of the FOH Panel's direct testimony, the Companies propose that each of these metrics be measured on a calendar year basis.

Q. What level of financial awards do the Companies propose related to these EAMs?

Q. KEDNY proposes to earn up to 78 basis points of financial incentives for 2020, and 63 basis points of financial incentives each for 2021, 2022, and 2023. KEDLI proposes to earn up to 77 basis points in financial incentives for 2020, 62 basis points in financial incentives for 2021, and 63 basis points in financial incentives for 2022 and 2023. As shown in the Companies' response to IR DPS-361, KEDNY and KEDLI propose to value basis points on a Rate Year basis, whereas EAM performance would be

measured on a calendar year basis.

Q. Did the Companies make any additional EAM proposals in their Corrections and Updates Testimony?

A. Yes, the FOH Panel's Corrections and Updates Testimony provided a correction to the Companies' Incremental Energy Efficiency metric targets, which we will describe later in this testimony. The Companies did not propose any further updates to any of their other EAM metrics or targets in the Corrections and Updates Testimony.

Q. Prior to discussing the individual EAM metrics proposed by the Companies, does the Panel have any preliminary recommendations regarding the Company's overall EAM proposals?

A. Yes, we have four overall recommendations.

Q. What is the Panel's first overall recommendation?

A. First, we recommend that the Commission reject KEDNY's proposal to earn up to 78 basis points and KEDLI's proposal to earn up to 77 basis points during the Rate Year at maximum achievement levels, and instead adopt, for each

Company, a maximum financial incentive of 10 basis points, plus the earnings related to the Share the Savings energy efficiency metric, which we will discuss later in our testimony. Our recommended financial incentives are shown in Exhibit__(SEAMP-2). We will also provide recommendations on the specific number of basis points for each metric as part of our recommendations for each of those metrics.

Q. What are the dollar amounts associated with one basis point during the Rate Year?

A. Based on Staff's recommended rate base and revenue requirement, the value of one basis point is $335,537 for KEDNY and $211,211 for KEDLI. The calculations of basis point values are provided in the direct testimony of the Staff Finance Panel.

Q. What is the Panel's second overall recommendation?

A. Second, we recommend that the Commission approve more aggressive targets than those proposed by the Companies, even at minimum EAM achievement levels. We will explain our recommended EAM achievement levels when we address each

individual EAM later in this testimony.

Q. Why should the Commission adopt more aggressive EAM achievement levels?

A. The Companies' target-setting methodology results in achievement levels that do not represent stretch goals indicative of exceptional utility performance. The Track Two Order twice provided guidance that EAM targets in general should be ambitious to encourage a portfolio approach beyond conventional programs, see page 75, and that utilities should not begin earning EAM incentives on programmatic metrics until such programs achieve their minimum targets, see page 82.

Q. What is the Panel's third overall recommendation?

A. Third, we propose that the EAMs ultimately be expressed in terms of absolute dollars instead of basis points. While we express our potential earnings in basis points in our testimony, we recommend the values be converted to a dollar amount once the capital structure and rate base are determined in these proceedings.

Q. Explain why the Panel recommends that EAMs be

awarded in terms of dollars and not in basis points.

A. Since the value of a basis point fluctuates over time, as it is directly related to the amount of plant in service, basing EAMs strictly on basis points could create a perverse incentive for the Companies to increase its net plant-in-service to inflate the value of a basis point. Instead, the basis points assigned to each EAM should be converted into absolute dollar figures based on the equity ratio and net plant-in-service targets ultimately approved by the Commission in these proceedings.

Q. What is the Panel's fourth overall recommendation?

A. Fourth, in the event that a settlement is reached resulting in a multi-year rate plan, we recommend that the EAM metrics, targets, and financial incentive levels be set for the full term of the rate plan.

Q. Why should the EAM metrics, targets, and financial incentive levels be set for the full term of a multi-year rate plan?

A. A term of a multi-year rate plan strikes a

reasonable balance between providing a long-term incentive structure around which the Company will be able to plan its business and operations, and ensuring that the metrics, targets, and financial incentives remain reasonable and relevant. Furthermore, setting the EAM metric targets for multiple years helps to reduce a utility gaming opportunity whereby the Companies might have an incentive, if EAMs are reset each year based on performance during the prior year, to artificially depress its progress toward the metric targets if it can reasonably expect that metric targets would be reduced in a subsequent proceeding, thus requiring less effort for greater financial reward.

Q. Are there risks involved in setting multi-year EAM metrics, targets, and financial incentives?

A. Setting EAM metric targets for a multi-year term does present a risk that targets may be set either too strict, such that the utility is not able to achieve the targets regardless of its actions, or too lenient, such that the utility earns an incentive with very little effort.

However, it is our opinion that this risk is more than balanced given our process of developing targets that reflect achievable goals through utility intervention and efforts and the benefits of providing a stable and predictable incentive structure for KEDLI and KEDNY. This combination is beneficial for the Companies, their customers, and the State of New York.

Q. Are there ongoing statewide policy proceedings that may require reconsideration of the EAM targets during the term of a multi-year rate plan?

A. Yes, there are a number of ongoing statewide policy proceedings that may require reconsideration of certain EAM metrics or targets if the Commission authorizes new programs or significantly increases the budgets for existing programs or portfolios. In particular, the Commission is currently considering the Companies and other utilities' May 2019 energy efficiency proposals in Case 18-M-0084.

Q. What does the Panel recommend in the event there are developments in these other proceedings?

A. We recommend that the EAM targets be reconsidered as part of a collaborative among the Companies, Staff, and other stakeholders in the event that the Commission authorizes significant new programs or substantial increases to the budgets for existing programs or portfolios as a result of ongoing statewide policy proceedings. While the targets and metrics should be re-examined, the total number and value of basis points available to the Companies during the three-year period should remain as set in these proceedings.

System Efficiency EAMs

Q. Please describe the Companies' proposed System Efficiency EAM.

A. The proposed System Efficiency EAM comprises two metrics: Peak Reduction, and Supply Diversification.

Q. Provide an overview of the Companies' proposed Peak Reduction metric.

A. As described by the FOH Panel on page 98 of its direct testimony, the Companies' proposed Peak Reduction metric would measure reduction in gas

usage during peak events by averaging the reduction across all peak events as part of the Demand Response Demonstration Project.

Q. How do the Companies propose to set targets for their Peak Reduction metric?

A. On page 99-100 of the FOH Panel's direct testimony, the Companies explain that they set the minimum achievement level for each Company equal to that Company's respective forecast of peak load reductions achieved through their Demand Response programs on a Dekatherm (Dth) reduced per hour, per event, basis, averaged among all demand response events called during a given season. The Companies further propose to set the midpoint and maximum achievement levels 10% and 20% above the forecast levels, respectively. The Companies claim that their proposed midpoint and maximum targets reflect the incremental effort required to exceed the design of the expanded demonstration.

Q. How many basis points of financial awards do the Companies propose related to these targets?

A. KEDNY proposes to earn one basis point, three basis points, and five basis points of incentive

awards at the minimum, midpoint, and maximum achievement levels, respectively, for each calendar year from 2020 through 2023. KEDLI proposes to earn one basis point, two basis points, and three basis points of incentive awards at the minimum, midpoint, and maximum achievement levels, respectively, for each year from 2020 through 2023.

Q. Does the Panel agree with the Companies' proposed Peak Reduction metric?

A. While we agree with the need for an EAM metric designed to encourage the Companies to reduce gas peak demand, we disagree with the specifics of the metric as proposed by the Companies.

Q. What aspects of the Companies' proposed Peak Reduction metric does the Panel disagree with?

A. We disagree with the Companies' proposal to base an EAM metric solely on the results of their proposed Demand Response program, especially since, as the Companies describes it, such program is still in the demonstration phase. The Commission has repeatedly expressed its preference for outcome-based EAM metrics in general, as discussed previously, as well as for

outcome-based peak reduction metrics specifically.

Q. Where has the Commission expressed a desire for outcome-based Peak Reduction metrics specifically?

A. The Commission espoused outcome-based peak reduction metrics in the Track Two Order on page 75, and reiterated that position on page 40 of its Order Establishing Energy Storage Goal and Deployment Policy issued in Case 18-E-0130 on December 13, 2018. Although the Commission's Orders in those proceedings are related to electric Peak Reduction EAMs, the Commission's desire for outcome-based Peak Reduction metrics is similarly applicable to the gas business.

Q. How does the Panel recommend devising a peak reduction metric?

A. As a preliminary recommendation, we believe that such a metric should be based on peak-day usage reductions from firm customers on a per-Heating Degree Day basis, to be measured during the month of January or February when gas companies are most likely to experience the heating season's peak day.

Q. Does the Panel recommend reserving a level of financial incentives related to this metric, once developed?

A. Yes. We recommend that up to 10 basis points of gas incentives be reserved for this metric at maximum achievement levels beginning as soon as practicable, either in 2021 or 2022. As a preliminary recommendation, we believe that the minimum and midpoint incentives should be 2.5 basis points and five basis points, respectively.

Q. What process does the Panel envision for developing this metric and targets?

A. We invite the Companies and other parties to assist in this effort by recommending possible metrics and target development strategies as part of their respective rebuttal testimonies. We anticipate being able to develop targets based on available historical data and additional data obtained as needed during the 2019-2020 heating season. Once the metric and associated targets are developed, the Companies should petition the Commission for authorization to begin earning the reserved EAM financial

incentives.

Q. Provide an overview of the Companies' proposed Supply Diversification metric.

A. As proposed by the Companies on page 100 of the FOH Panel's direct testimony, the Supply Diversification metric would reward each Company for increasing annual deliveries of Renewable Natural Gas (RNG) onto the Companies' distribution system. Specifically, the Companies propose to measure the incremental RNG introduced into their respective natural gas networks each year.

Q. How did the Companies propose to set the minimum, midpoint, and maximum achievement levels for this metric?

A. The Companies used a two-step process for developing their respective minimum targets, described on pages 101 and 102 of the FOH Panel's direct testimony. First, the Companies state that they examined the attributes of six proposed RNG projects currently in the Companies' interconnection queue, and estimated the net benefits of such RNG interconnections on a per-Dth basis. Second, the Companies

estimated the number of Dth of RNG needed to achieve one basis point of value each year – the Companies set this volume of RNG as the minimum achievement level.

Q. How do the Companies propose to set the midpoint and maximum achievement levels?

A. On page 102 of the FOH Panel's direct testimony, the Companies state that they based their proposed midpoint and maximum achievement levels on an evaluation of historical trends in RNG connections dating back to the 1980s, with forecasts based on those trends to determine what the RNG market would do itself without utility intervention. The Companies then estimated a trendline for accelerated RNG deployment, with the midpoint set at a threefold improvement in RNG interconnection volumes and the maximum set at fivefold improvement in such volumes. Ultimately, as shown on page 101 of the FOH Panel's direct testimony, the resulting midpoint and maximum targets for each Company are equal to 2.5 times and five times the minimum target, respectively.

Q. How many basis points of financial incentive do

the Companies propose related to the Supply Diversification metric?

A. The Companies propose four basis points, 10 basis points, and 20 basis points at the minimum, midpoint, and maximum achievement levels, respectively for each Company and each year from 2020 through 2023.

Q. Does the Panel agree with the Companies' proposed Supply Diversification metric?

A. No, we do not.

Q. Why doesn't the Panel agree with the Supply Diversification metric?

A. First, the Companies' rationale for the Supply Diversification EAM is not supported by either the Order Adopting Regulatory Policy Framework and Implementation Plan (the Track One Order), issued February 26, 2015 in Case 14-M-0101 or the Track Two Order. Second, an additional incentive for the Companies to pursue increased RNG interconnections is unnecessary at this time. Third, the Companies' proposed targets and associated financial incentives are unreasonable.

Q. Explain why the Supply Diversification EAM is

inconsistent with the Track One and Track Two Orders.

A. On pages 102 and 103 of the FOH Panel's direct testimony, the Companies claim that their Supply Diversification metric aligns with the Commission's findings in the Reforming the Energy Vision (REV) proceeding, and asserts that such metric incentivizes the Companies to create a more diverse energy supply. The Companies' assertion that its Supply Diversification is consistent with the Commission's findings in the REV proceeding, as communicated in the Track One Order and Track Two Order, is inaccurate. While the Track One Order does identify fuel and resource diversity as one of the six policy objectives of the REV proceeding, see page 4, it does so in the context of diversifying the electric grid away from reliance on natural gas, see page 17. For its part, the Track Two Order, which identified the categories of EAMs that would be considered by the Commission, did not identify diversification of fuel sources within a gas utility's supply portfolio as an EAM-worthy metric. In fact, the only gas-related

metric the Commission did address in the Track Two Order was related to its openness to gas Energy Efficiency-related incentives, see page 82. In addition, as shown in the Companies' FOH Panel Exhibit__(FOH-2), the KEDNY and KEDLI System Efficiency EAM metrics, inclusive of both the Companies' proposed Peak Reduction metric and Supply Diversification metric, are comprised of 98% and 99% avoided CO2 benefits, respectively, making these metrics not System Efficiency metrics, but Carbon Reduction metrics.

Q. Didn't the Commission consider EAM metrics related to Carbon Reduction in the Track Two Order?

A. Yes, but only those specifically related to decarbonization of electric uses such as transportation, through increased electric vehicle penetration, and building heating and cooling uses through increased penetration of heat pumps. The Track Two Order did not include increased penetration of RNG as an EAM metric.

Q. Why is an additional EAM incentive not necessary to spur the Companies to pursue increased RNG

penetration?

A. Given the supply constraints the Companies are currently facing, any increase in non-pipeline gas supply, from increased RNG interconnections for example, will help the Companies manage their gas supply issues. The Companies business model is already inherently aligned with increasing RNG interconnections, therefore, additional customer-funded incentives for the Companies' shareholders are not necessary.

Q. Explain how the Companies' targets and associated financial incentives are unreasonable.

A. As described on pages 101 and 102 of the FOH Panel's direct testimony, the Companies set their proposed minimum target based on the number of Dth of RNG required to achieve one basis point of value, with the midpoint and maximum number of Dths 2.5 times and five times the minimum level, respectively. As a reward for creating one, 2.5, and five basis points of value at the minimum, midpoint, and maximum achievement levels, the Companies propose to be provided four, 10, and 20 basis points of

financial incentives, respectively. Put another way, for each $1 in value created by RNG interconnections, the Companies propose to earn $4 in financial incentives. This level of incentivization is clearly unreasonable.

Energy Efficiency EAMs

Q. Please describe the Companies' proposed Energy Efficiency EAMs.

A. The Companies proposed two Energy Efficiency EAMs: the Incremental Energy Efficiency metric and an Affordability metric.

Q. Please describe the Incremental Energy Efficiency metric.

A. The Incremental Energy Efficiency metric measures incremental reductions achieved through each Company's energy efficiency programs in MMBTUs for each year. The Companies proposed to set the minimum achievement level equal to the targets established by the Commission in the December 2018 Energy Efficiency Order. The Companies proposed to set the maximum achievement level based on achieving cost efficiencies equal to each Company's lowest

average historic actual run rate from the last four years, with some adjustments. The Companies proposed to set their respective midpoint achievement levels equal to the average of the minimum and maximum achievement levels.

Q. Did the Companies propose the same set of targets for each year?

A. No. The Companies proposed to set the targets related to this metric for 2020 based on the method described above, but based on the sum of MMBTU savings for both Calendar Year 2019 and 2020. During 2021, 2022, and 2023 the Companies propose to base the minimum, midpoint, and maximum achievement levels only on the MMBTU targets from each respective year.

Q. Have the Companies' updated their proposed Incremental Energy Efficiency EAM after filing their initial testimony?

A. Yes, the Companies proposed an update to the Incremental Energy Efficiency targets. In their initial testimony, the Companies based the targets on net MMBTU savings. The FOH Panel corrected these targets to be based on gross savings in its Corrections and Update Testimony.

Q. What level of financial awards do the Companies propose related to the Incremental Energy Efficiency EAM?

A. For 2020, the Companies each propose to earn zero basis points at the minimum achievement level, 20 basis points at the midpoint achievement level, and 40 basis points at the maximum achievement level. Annually between 2021 and 2022, the Companies each propose to earn zero basis points at the minimum achievement level, 10 basis points at the midpoint achievement level, and 20 basis points at the maximum achievement level.

Q. Does the Panel agree with the Companies' Incremental Energy Efficiency metric proposals?

A. No, we do not. The Companies' proposed Incremental Energy Efficiency metric is not responsive to the Commission's directives in either the December 2018 Energy Efficiency Order or the March 2018 Energy Efficiency Order. In addition, the Companies' proposed Incremental Energy Efficiency EAM metric is not responsive to the Commission's March 2018 Energy Efficiency Order requiring that programmatic energy

efficiency EAMs be based on Verified Gross Savings. Instead of the unresponsive Incremental Energy Efficiency metric proposed by the Companies, we recommend that the Commission adopt a Share the Savings EAM metric, which we will describe in detail later in this testimony. The incentives provided by an Incremental Energy Efficiency metric would be wholly duplicative of the Share the Savings EAM.

Q. Explain how the Incremental Energy Efficiency metric is duplicative of the incentives provided by the Share the Savings metric.

A. There are three pathways toward earning a financial award under the Share the Savings metric: (1) reducing total energy efficiency portfolio expenditures; (2) increasing the first year MMBTU savings achieved; and (3) increasing the average effective useful lifetime (EUL) of the Companies' portfolios by focusing on longer-lived measures. Pursuing any or all of these three pathways can result in a significant reduction to total cost per lifetime MMBTU. To achieve the Annual MMBTU EAM, however, the Companies would have to increase the first year

MMBTU savings achieved by the portfolio, which the Companies will already be incentivized to do through the Share the Savings EAM.

Q. Please explain your recommended Share the Savings metric.

A. We recommend a three-step process to determine the financial incentives under the Share the Savings EAM. First, the Companies would calculate the actual dollar per lifetime MMBTU program run-rate it achieves each year. To do this, each Company would divide the cost of its total energy efficiency portfolio by the product of the portfolio's first-year MMBTU savings and the EUL of the portfolio. Second, each Company would then subtract the annual lifetime run rate from a baseline annual lifetime run rate. The baseline run rate would be calculated by dividing the Commission-authorized portfolio budget by the product of the Commission-authorized portfolio savings target and the Company's portfolio EUL. Third, each Company would multiply the difference in dollars per lifetime MMBTU calculated in the second step by the actual annual lifetime MMBTU achieved by

that Company's portfolio, multiplied by that Company's share of savings percentage, 30 percent. We provide an illustrative example of this process in Exhibit___(SEAMP-3).

Q. How did the Panel develop its proposed 30 percent Company-share of savings?

A. As shown in Exhibit__(SEAMP-3) we benchmarked the recent Commission-approved electric and gas energy efficiency EAM targets for other utilities. Based on this exercise, we determined that a roughly 50% improvement in energy efficiency program run rates were needed to achieve the maximum EAM award. In each of the utilities benchmarked, the Commission has awarded a total 10 basis points to programmatic gas energy efficiency EAMs. As shown in Exhibit__(SEAMP-3), we then calculated the resulting Company-share of savings percentage for approximately 10 basis points of incentives based on a 50 percent reduction in energy efficiency portfolio costs per lifetime MMBTU. Based on these calculations we determined that a 30 percent Company-share of the savings is appropriate.

Q. Does the Share the Savings EAM run the risk of unintended consequences?

A. Yes. Therefore, we recommend instituting "guardrails" on the Share the Savings EAM.

Q. What "guardrails" does the Panel recommend?

A. We recommend two guardrails. First, we recommend that the Companies be required to meet the minimum lifetime MMBTU target of its energy efficiency portfolio before they can have the opportunity to earn the Share the Savings EAM. Second, we recommend that the Companies use a consistent EUL for each energy efficiency measure for both setting the benchmark cost per lifetime MMBTU and the achieved cost per lifetime MMBTU. These EULs should reflect the EULs stated in the New York Standard Approach for Estimating Energy Savings from Energy Efficiency Programs – Residential, Multi-Family, and Commercial/Industrial Measures (commonly known as the Technical Resource Manual or TRM), Version 7, effective January 1, 2020, submitted on April 15, 2019 in Matter 15-01319. These requirements will ensure that KEDNY and KEDLI achieve at least the minimum lifetime MMBTU

savings from its energy efficiency portfolio each year prior to earning this EAM. The requirements also ensure that the Companies will neither benefit nor suffer due to a change in the measure of EULs as a result of changes to the Technical Resource Manual during a given year.

Q. Did the Companies address the March 2018 Energy Efficiency Order's requirements regarding verified gross savings in its Share the Savings EAM?

A. No, the Companies did not address verified gross savings in their Energy Efficiency EAM proposals. In response to IRs DPS-270 and DPS-271, the Companies stated that they will propose plans and a schedule for developing verified gross savings following the issuance of Staff guidance regarding verified gross savings.

Q. Did the Commission require Staff to develop guidance regarding verified gross savings?

A. Yes. The Commission required Staff, consultation with utilities, New York State Energy Research and Development Authority (NYSERDA) and other interested stakeholders, to

issue Gross Savings Verification Guidance that included the minimum level of gross savings that must be verified for the purpose of awarding EAMs, the methods and approaches that would be considered acceptable to perform the analysis, and any other considerations that would provide clarity and structure to the consistent approach to the verified gross savings policy.

Q. Has Staff issued the required guidance regarding verified gross savings?

A. Yes. Staff issued its verified gross savings guidance document on August 23, 2019 in Case 15-M-0252.

Q. Do you have a recommendation regarding verified gross savings as it relates to your recommended Share the Savings EAM?

A. Yes, we recommend that the Companies apply the realization rate from the most recent third-party EM&V activities to the gross savings reported against the EAM target. We also recommend that any program that has not been subjected to EM&V activities resulting in a realization rate during the two years prior to the rate period should be prioritized, and

activities that result in realization rates for those programs should be included in the schedule of EM&V activities to be conducted within the upcoming three years beginning during the Rate Year. In the event that the Commission approves other programmatic energy efficiency-related EAMs in this proceeding, our recommendations on this matter should apply to those metrics as well.

Q. What is the schedule for awarding EAMs based on verified gross savings?

A. As the Commission noted in its March 2018 Energy Efficiency Order, the verified gross savings approach may result, to some extent, in a lag between programmatic activity and the awarding of incentive payments. While we are supportive of KEDLI and KEDNY's proposal to receive EAMs annually, we recommend a lag period to allow for the verified gross savings process to occur. To the extent the Companies are able to adjust their savings with realization rates to calculate verified gross savings by June 1 of the year following annual programmatic activity, we recommend that the Companies forecast their

verified gross savings achievement at that time and begin to collect their EAM incentive payment based on that forecast in September. For example, if the Companies run six programs in 2020, and two have a verified gross realization rate by June 1, 2021, the Companies could begin to collect any EAM incentive the Companies earned in September 2021. Each Company should reconcile that forecast and adjust its collections as necessary at the time it forecasts its next EAM incentive payment. Each Company should conduct an annual reconciliation of the previous year's forecasted EAM incentives when setting the incentive payment collection levels to be effective in September of the year following program activity.

Q. Are there ways in which KEDLI and KEDNY could limit the risk of a downward adjustment to incentives previously recognized?

A. Yes. If the Companies have concerns regarding the recognition of EAM revenues, they could recognize a portion of the forecasted incentive level until such time as a full reconciliation can occur based on completion of the verified

gross savings process, thereby limiting the risk of future downward adjustments.

Q. Please describe the Affordability metric.

A. The Companies propose to implement the Affordability metric to provide an incentive for the Companies to help reduce low income customers' bills. As proposed by the Companies, on pages 106 and 107 of the FOH Panel direct testimony, the Affordability metric would measure the percentage reductions in annual low-income customer average monthly bills compared to the previous year's weather-normalized low income customer annual average monthly bill.

Q. Did the Companies propose specific targets related to this metric?

A. No. Instead of defined minimum, midpoint, and maximum achievement levels, and associated basis point awards, the Companies propose to earn one basis point of financial award for every 0.2 percent year-over-year reduction in the average low-income customer bill achieved. To put it another way, the Companies would earn 10 basis points of financial award for achieving a two percent reduction in average low income customer

bills. The Companies propose not to set a maximum cap on the amount of financial awards available for this metric.

Q. Does the Panel agree with the Companies' proposed Affordability metric?

A. No, we do not support this metric for three reasons. First, the Affordability metric, as proposed by the Companies, is not consistent with the EAMs provided for in the Track Two Order. Second, the targets proposed by the Companies are set inappropriately low, resulting in financial rewards for what would likely be the result of random chance and not specific Company actions. Third, the financial awards proposed by the Companies are far greater than the value of the outcomes achieved.

Q. Explain how the Affordability metric is not consistent with the Track Two Order.

A. The Commission considered an Affordability metric as part of its Track Two Order and determined that the outcomes resulting from such a metric are best addressed by other means, see pages 92-93.

Q. Explain how the Companies' proposed targets

proposed are inappropriately low.

A. The amount of variation in recent historical annual monthly average low income customer bills is significant. As shown in Exhibit___(SEAMP-4), the average annual monthly low income customer bill between 2014 and 2018 was $104.66 for KEDNY and $107.35 for KEDLI, with standard deviations of $15.01 and $15.50, or 14.34 percent and 14.44 percent, respectively. A two percent decrease in year-over-year annual average monthly low income customer bills, which would provide the Companies with a 10 basis point financial reward, represents just 0.14 standard deviations.

Q. What are standard deviations?

A. A standard deviation is a statistic that describes how much variation there is in a set of data. The greater the amount of variation in a data set, the greater the standard deviation. The standard deviation of a data set can also tell us how likely a particular outcome is to be the result of random, naturally occurring, variation in a given data set. The greater number of standard deviations a particular

outcome is away from the average of the data set, the greater likelihood that that outcome was not the result of random variation and was instead influenced by some outside factor, for example, utility efforts to reduce low income customer bills.

Q. At 0.14 standard deviations, how likely is it that reductions in low income customer bills are the result of increased utility efforts and not random chance?

A. At 0.14 standard deviations, we can only be about 10 percent certain that the variation from the average is a result of Company intervention and not simple random variation.

Q. Are there examples from other utilities' EAMs where the standard deviation or other similar descriptive statistic have been the basis for setting EAM targets?

A. Yes. The standard errors of regression, a descriptive statistic similar to standard deviations – essentially the standard deviations of a set of data from a linear regression – has been used as the basis for the Electric Energy Intensity metrics at Niagara Mohawk, Central

Hudson, and Orange and Rockland.

Q. What level of statistical certainty were used in those proceedings?

A. In each of those proceedings, the Commission approved targets which were developed based on minimum, midpoint, and maximum achievement levels set equal to 0.25, 1.0, and 1.75 standard errors, respectively.

Q. If targets were developed for the Affordability metric in this proceeding using similar levels, what would those targets be?

A. The targets based on 0.25, 1.0, and 1.75 standard deviations for KEDNY would be 3.59 percent, 14.34 percent, and 25.01 percent at the minimum, midpoint, and maximum achievement levels, respectively. For KEDLI, the targets would be 3.61 percent, 14.44 percent, and 25.27 percent at the minimum, midpoint, and maximum achievement levels, respectively.

Q. How do the achievement levels anticipated by KEDNY and KEDLI compare to the targets you just described?

A. The maximum amount anticipated by the Companies, 2.0 percent, is only roughly half of the minimum

achievement level developed using this method, and about one-twelfth of the maximum achievement level we described.

Q. Explain how the financial awards proposed by the Companies outweigh the value of the outcomes achieved.

A. As shown in Exhibit___(SEAMP-4), a reduction of two percent of average monthly bills would result in savings of approximately $104,000 to $150,000 per year for KEDNY low income customers in aggregate and approximately $20,000 to $28,000 per year for KEDLI low income customers in aggregate. Based on the Companies' proposed 10 basis point maximum and Staff's value of basis points, KEDNY would earn $3.35 million in financial incentives, and KEDLI would earn $2.11 million in financial incentives. Put another way, for each $1 the Companies save low income customers, KEDNY would be rewarded with $22 to $32, and KEDLI would be rewarded with $75 to $106.

Q. Would low income customers retain the full benefit of achievement under this metric if it were approved?

A. No. The revenues not collected from low income customers would be included in the Revenue Decoupling Mechanism and be recovered, at least in part, from these very same low income customers. In addition, these very same customers would also be responsible for a portion of the Companies' EAM awards related to this metric. The combination of statistically insignificant targets, shareholder financial incentives tenfold greater than the value of the outcomes created, and the diminished impact of those outcomes leads us to strongly recommend that the Commission not approve the Companies' Affordability metrics.

Carbon Reduction EAM

Q. Please describe the Companies' proposed Carbon Reduction EAM.

A. The Carbon Reduction EAM comprises two metrics: CO2 Reduced from Full-Service Customers, and CO2 Reduced from Transportation Customers. The Carbon Reduction EAM focuses on the adoption rate of three specific utility programmatic offerings: (1) customers converting from oil to

geothermal heating by taking heating service from utility-owned geothermal systems; (2) sales of RNG via the Green Gas Tariff; and (3) the use of compressed natural gas (CNG) and RNG in natural gas vehicles to offset use of diesel fuel.

Q. Please summarize the CO2 Reduced from Full-Service Customers metric (Full Service metric).

A. The Full Service metric is based on the sum of carbon reductions from customer uptake of utility-owned geothermal systems, and carbon reductions from sales of RNG through the Green Gas Tariff.

Q. How do the Companies propose to measure carbon savings from customer uptake of utility-owned geothermal systems?

A. The Companies propose to multiply the number of active utility-owned geothermal systems by the amount gas usage the customers using said geothermal systems would otherwise use to determine the amount of natural gas offset by customers using utility-owned geothermal systems instead. Next, the Companies propose to multiply the amount of natural gas offset by

geothermal customers by the lifecycle carbon emissions related to burning natural gas to determine the amount of carbon savings resulting from geothermal customers offsetting natural gas usage.

Q. How do the Companies propose to measure carbon reductions resulting from increased use of RNG?

A. The Companies propose a complicated three-part calculation, however, the method proposed by the Companies is mathematically equivalent to a fairly simple equation. Carbon dioxide savings from RNG would be calculated by multiplying the amount of RNG sold, in Dth, by the difference in CO2 emissions rates on a metric ton of CO2 emitted per Dth basis between pipeline natural gas and RNG.

Q. How many basis points do the Companies propose to earn at maximum achievement levels for the Full Service metric?

A. KEDNY proposes a maximum of one basis point for 2020, and a maximum of three basis points for each year from 2021 through 2023. KEDLI proposes a maximum of two basis points for 2020, four basis points for 2021, five basis points

for 2022, and six basis points for 2023.

Q. Please summarize the Companies' proposed CO2 Reduced from Transportation Customers metric (Transportation metric).

A. The Transportation metric would reward the Companies for encouraging CNG vehicle usage. The Companies propose to base this metric on the sales of natural gas to CNG fueling stations, multiplied by the difference in carbon emissions between CNG-fired vehicles and diesel-fired vehicles. The Companies also propose to incorporate carbon reductions related to increased use of RNG at these CNG fueling stations, providing additional carbon savings by comparing the carbon emissions related to RNG to the emissions related to pipeline gas.

Q. How many basis points of financial incentive do the Companies propose to earn at maximum achievement levels for the Transportation metric?

A. The Companies each propose to earn a maximum of five basis points each year from 2020 through 2023.

Q. Does the Panel agree with the Full Service and

Transportation Carbon Reduction EAM metrics?

A. No. There are three reasons why we do not support the Company's Carbon Reduction EAM metrics. First, the metrics proposed by the Companies are not aligned with the requirements of the Track Two Order. Second, the metrics' outcomes do not spur changes to the Companies' traditional business model, but instead reinforce incentives inherent in the Companies' existing business model. Third, the financial incentives the Companies propose are significantly greater than the societal value of the outcomes of the metrics.

Q. Explain how the Companies' Carbon Reduction metrics are not aligned with the Track Two Order.

A. As previously discussed, the Track Two Order specified that greenhouse gas reduction metrics should focus on decarbonization of end-uses, specifically related to heat pump and electric vehicle adoption. Further, the Companies proposals for these metrics are wholly programmatic, depending on customer use of customer-funded utility programs, whereas the

Track Two Order clearly expressed a preference for outcome-based EAM metrics.

Q. Explain how the Companies' proposed Carbon Reduction metric would not spur a change in the business model, but instead reinforce the existing business model.

A. As explained above while discussing the Companies' proposed Supply Diversification EAM, The Companies business model is already inherently aligned with increasing RNG interconnections. Similarly, through increased sales and revenues, the Companies already have a business model incentive to increase use of their systems through increased penetration and use of CNG vehicles. Neither of these outcomes require a change in business model for which the Companies need incentives to pursue. Therefore, additional customer-funded incentives for the Companies' shareholders are not necessary.

Q. Explain how the financial awards proposed by the Companies are greater than the societal value of the outcomes the Carbon Reduction metrics achieve.

A. The current Social Cost of Carbon (SCC), or

rather the societal value of reducing carbon emissions, is approximately $52 per metric ton. Based on the Companies' proposed Carbon Reduction metric targets and financial awards, the Companies would earn more in financial awards than the value of reducing carbon emissions by the proposed amounts. For example, KEDNY proposes to earn one basis point, approximately $335,537 during 2020 as a reward for reducing 3,295 metric tons under the Full Service metric in 2020, or $101.83 in shareholder incentives per metric ton of carbon reduced. This figure is the least egregious of the four total incentives, with $117.86 per metric ton, $290.16 per metric ton, and $182.65 per metric ton of incentives related to KEDLI's Full Service metric, KEDNY's Transportation metric, and KEDLI's Transportation metric, respectively. Put another way, the Companies propose to earn between $1.95 to $5.56 in shareholder incentives for every $1 in societal benefits achieved.

Q. Are there other more pragmatic reasons why the Companies' Carbon Reduction EAM metrics should

not be eliminated?

A. Yes. While the Companies' proposals would reward the Companies for customer adoption of utility-owned heat pumps, the Staff Efficiency and Sustainability Panel recommends eliminating the Companies' proposed utility-owned geothermal heat pump programs.

PLATFORM SERVICE REVENUES

Q. What are Platform Service Revenues (PSRs)?

A. The Track Two Order defines PSRs as a new form of utility revenues associated with the operation or facilitation of distribution-level markets. The Track Two Order also notes that PSRs are expected to take the place of EAMs in the long term as the utilities transition from their traditional role as distribution utilities to their new role as operators of the distributed system platform.

Q. Do KEDNY and KEDLI propose any PSRs in this rate filing?

A. Yes. The Companies propose two PSRs on page 116 of the FOH Panel's direct testimony, one related to their Energy Efficiency E-Commerce Platform,

and another related to their Utility Energy Services Contracts (UESC) program. For each of these PSRs, the Companies propose to retain a portion of the fees collected from program vendors and participants and pass the remainder back to customers.

Q. Please describe the Companies' proposed PSR related to the E-Commerce Platform.

A. On page 117 of the FOH Panel's direct testimony, the Companies propose to retain 20 percent of the fees they collect from vendors participating in their respective E-Commerce Platforms. The Companies propose to defer the remaining 80 percent of fees from the E-Commerce Platform for future credit to customers.

Q. Did the Companies explain why they proposed to retain a 20 percent share?

A. Yes. The Companies explain on page 117 of the FOH Panel's direct testimony that they developed their proposed E-Commerce Platform EAM to be consistent with a similar PSR approved by the Commission as part of the Rate Order issued on March 15, 2018 in Cases 17-E-0238 and 17-G-0239 regarding Niagara Mohawk.

Q. Does the Panel agree with the Companies' proposed E-Commerce Platform PSR?

A. No. The 20 percent share PSR approved by the Commission as part of Cases 17-E-0238 and 17-G-0239 for Niagara Mohawk references electric businesses only.

Q. Did the Track Two Order establish guidelines for consideration of PSRs?

A. Yes, the Track Two Order establishes five criteria for consideration of PSRs: (1) whether the service facilitates the growth of markets; (2) whether there is already a third-party market for the service that adequately serves all sectors of the market; (3) whether utility economies of scale and/or existing utility expertise are likely to result in a cost-effective stimulation of the market; (4) whether utility provision of the service is likely to prevent other providers from entering the market; and (5) the extent to which a utility has proposed placing shareholder funds at risk.

Q. Did the Companies' demonstrate that the criteria established in the Track Two Order were satisfied?

A. We do not believe the Companies provide substantive/reasonable distribution-level market information to justify consideration of the PSR in either their direct testimony or in response to IR DPS-363.

Q. Please describe the Companies' proposed PSR related to the UESC Program.

A. On page 117 of the FOH Panel's direct testimony, the Companies propose to retain one-third of the fees collected from UESC participants. The Companies propose to defer the remaining two-thirds of such fees for future credit to customers.

Q. Did the Companies explain why they proposed to retain a one-third share of the UESC Program fees?

A. Yes. On pages 117 and 118 of the FOH Panel's direct testimony, the Companies explain that the higher Company-share of USEC Program fees is reflective of additional marketing and managerial responsibilities of the UESC program compared to the E-Commerce Platform, and the additional risk that such activities may not result in a contract to participate in the USEC

program. The Companies argue that a higher Company-share of revenues is warranted because customer participation in the UESC is not guaranteed regardless of the Companies' marketing and managerial efforts.

Q. Does the Panel agree with the Companies' proposed PSR related to the UESC program?

A. Partially. We agree that the Companies should be provided a PSR to encourage them to maximize participation and benefits of the UESC program. However, the Companies' proposal to retain one-third of the fees paid by UESC program participants is unreasonably high.

Q. Why do you disagree with the Companies' proposed retention of one-third of UESC-related fees?

A. The Track Two Order established 20 percent as a reasonable utility-share of revenues for PSRs built upon programs without any shareholder funds at risk, and stated that higher sharing percentages might be reasonable depending on the amount of shareholder funds at risk.

Q. Are any shareholder funds at risk related to the UESC program?

A. No. Regardless of whether or not the Companies

are able to convince customers to participate in the UESC program, the Companies are made whole for the costs of the program. No shareholder funds are at risk, as acknowledged by the Companies in response to IR DPS-363, and therefore the Companies should not receive a PSR greater than 20 percent of revenues from the UESC program.

Q. Does the Panel recommend an alternate structure for a PSR related to the UESC program?

A. Yes. Instead of the Companies' proposed PSR based on a one-third share of all UESC program fees, we recommend that the Companies be able to retain a PSR equal to 20 percent of the net revenues collected from UESC program participants.

Q. Explain what you mean by net revenues.

A. The costs of the UESC program are recovered through base rates. Under our recommendation, the Companies would apply 100 percent of the fees collected from UESC program participants toward offsetting the costs of the UESC program until such costs are fully offset. Once the costs of the UESC program are offset, the

Companies would be eligible to retain 20 percent of any further UESC program fees, with the remainder deferred for customer benefit. An example of our recommended PSR is provided in Exhibit___(SEAMP-5).

Q. Are there benefits to adopting your recommended UESC-related PSR instead of the Companies' proposal?

A. Yes. As shown in Attachment 2 to the Companies' response to IR DPS-362, under the Companies' proposed PSR, the Companies would receive approximately double the earnings that accrue to customers. Further, as shown in Exhibit___(SEAMP-5), unlike the Companies' proposal, our recommended PSR only rewards success in the UESC program when it produces fees above and beyond its costs. Under this paradigm, the Companies will have a significant incentive for the UESC program to pay for itself in a given year, and will thereafter have the opportunity to retain a portion of those fees once the program is profitable.

KEDLI EMPOWER REPLACEMENT INCENTIVE

Q. Please describe KEDLI's proposal to continue its EmPower Replacement Program incentive mechanism.

A. The KEDLI EmPower Replacement Program, also called the Heat Program, and associated incentive mechanism were approved as part of the 2016 Rate Order issued by the Commission on December 16, 2016 in Cases 16-G-0058 and 16-G-0059. As part of the EmPower Replacement Program, KEDLI provides low income customers with four tiers of energy efficiency services. Under KEDLI's existing EmPower Replacement Program incentive mechanism, the Company earns financial rewards for each household participating in Tier 3 and Tier 4 of the program, based on a percentage of the program budget. A description of the participation Tiers under the KEDLI EmPower Replacement Program is available in the direct testimony of the Staff Efficiency and Sustainability Panel.

Q. Please describe the current incentive mechanism for participation in Tiers 3 and 4 of the EmPower Replacement Program.

A. Under the current mechanism, the Company earns a

reward of 0.007 percent of the program budget for each household participating in Tier 3, and a reward of 0.014 percent of the program budget for each household participating in Tier 4. Historically, KEDLI has earned approximately $122.88 per household participating in Tier 3, and $245.76 per household participating in Tier 4. Since Tier 4 participants also participate in Tier 3, KEDLI earns a total of $386.64 per household participating in both Tier 3 and Tier 4.

Q. Does the Panel agree with KEDLI's proposal to continue its EmPower Replacement Program Incentive Mechanism?

A. Partially. We agree that KEDLI should continue to receive an incentive to maximize participation in its EmPower Replacement Program, however, we recommend redesigning the incentive mechanism.

Q. Why should the EmPower Replacement Program Incentive Mechanism be redesigned?

A. Currently KEDLI's incentive per household will increase or decrease depending solely on the size of the program budget. As shown in

Appendix 7, Schedule 10, page 2, of the Joint Proposal adopted in the 2016 Rate Order, the incentives per participating household were set at $122.88 for Tier 3, and $245.76 for Tier 4. As shown in the FOH Panel's Exhibit___(FOH-12), KEDLI proposes to earn per-household incentives of $148.75 for Tier 3 and $297.50 for Tier 4 based solely on its request for a higher EmPower Replacement Program budget. The current mechanism provides KEDLI with an incentive not only to increase participation in the EmPower Replacement Program but also to increase the EmPower Replacement Program budget. This mechanism provides KEDLI with a positive incentive for continually spending and requesting ever more program funds from customers.

Q. What does the Panel recommend?

A. Instead of providing the incentive on the basis of a percentage of program budget, we recommend setting the incentive as a flat dollar amount per household, regardless of the program budget. In addition, we recommend reducing the incentive related to participation in Tier 4 of the

program.

Q. Why should the Tier 4 incentive decrease?

A. As shown in Exhibit___(SEAMP-6), the incentives earned by KEDLI related to Tier 4 have significantly outpaced the incentives related to Tier 3. The KEDLI EmPower Replacement Program is designed to provide an incentive for KEDLI to promote energy efficiency to low income customers. The EmPower Replacement Program was not designed to encourage the Company to pay for subsidized improvements to customers' premises, however, the majority of incentives earned by the Company are a result of Tier 4 participation, which includes subsidization for non-energy home infrastructure, instead of Tier 3. Further, as shown in Exhibit___(SEAMP-6), the level of energy savings related to Tier 4 measures is only a fraction of the savings achieved under Tier 3.

Q. Should the Tier 4 incentive be eliminated entirely?

A. No. Although there is significant overlap between Tier 3 and Tier 4 – all Tier 4 participants, by definition, also participate in

Tier 3 – there is still good reason to encourage KEDLI to make the most of its Tier 4 funding, provided such incentive is set at a reasonable level.

Q. What incentive levels does the Panel recommend?

A. We recommend setting the Tier 3 incentive equal to $125.00 per household, and the Tier 4 incentive equal to $62.50 per household. Again, as participants in Tier 4 are also participants in Tier 3, under our proposal KEDLI would earn $187.50 for each household participating in both Tiers 3 and 4.

Q. How did the Panel develop its recommended per-household incentives?

A. We set our Tier 3 incentive to closely match the current $122.88 per household incentive, using a round number instead of the current figure. We set our Tier 4 incentive equal to half of the Tier 3 incentive level. Under this incentive regime, the Companies will continue to have a higher marginal incentive to enroll customers in both Tiers 3 and 4, however, the Tier 4 incentive will not outpace the incentive related to the main purpose of the EmPower Replacement

Program itself.

NON-PIPES ALTERNATIVES INCENTIVE MECHANISM

Q. Please provide a summary of the Companies' proposals regarding Non-Pipes Alternatives (NPAs).

A. The FOH Panel briefly discusses its NPA-related proposals on page 118 of its direct testimony, with significant additional detail contained in Exhibit___(FOH-11). In Exhibit___(FOH-11), the Companies propose: (1) a definition of NPAs; (2) screening criteria for traditional infrastructure projects to be considered for development as an NPA; (3) eligibility requirements for resources to participate in an NPA project; (4) a shareholder incentive mechanism; (5) NPA project cost and incentive cost recovery mechanisms; and (6) associated reporting requirements.

Q. How do the Companies define an NPA project?

A. The Companies define an NPA project as a portfolio of resources used to delay, reduce, or eliminate the need for traditional capital investments to reinforce or expand gas supply

and distribution infrastructure, and which reduces net utility plant in service. The Companies note that while their proposed incentive mechanism would be limited to projects that reduce utility net plant in service, they would not be precluded from pursuing opportunities to develop solutions for other types of projects that would not reduce utility net plant in service, but would produce societal benefits.

Q. What types of projects would be included under the Companies' proposed incentive mechanism?

A. The Companies' proposed incentive mechanism would include any project that displaces KEDNY or KEDLI capital expenditures, and therefore net plant in service. For example, the mechanism would apply to a project that would eliminate the need to replace gas distribution main in a particular area.

Q. What types of projects would not be included under the Companies' proposed incentive mechanism?

A. The incentive mechanism would not cover projects that reduce the need for interstate pipelines,

since reductions to interstate pipeline capital costs do not result in a reduction to distribution utility net plant in service. To be clear, the Companies would still have the opportunity to pursue such projects, however, the explicit cost recovery and incentive mechanisms proposed for NPAs in these proceedings would not apply to those projects. Instead, the Companies would have to separately request authorization and cost recovery for such projects.

Q. Please define “NPA screening criteria.”

A. NPA screening criteria are a set of requirements which obligate the Companies to attempt to develop an NPA project when all of the criteria are met. When considering a capital project, the Companies must compare the project against the screening criteria. If the project meets all of the screening criteria, the Companies must attempt to develop an NPA project to implement in lieu of the planned traditional capital investment. The Companies may optionally attempt to develop NPA projects for those traditional capital investments which do

not meet all of the criteria, however, they would not be obligated to do so.

Q. What screening criteria do the Companies propose?

A. The Companies propose to separate projects into two categories, large and small. For small projects, the Companies propose that they be required to attempt to develop an NPA portfolio for traditional projects with capital costs more than $1 million and less than $3 million, which would be designed to be completed within one fiscal year. For large projects, the Companies propose to that they be required to pursue NPAs for projects with capital costs greater than $3 million, which would be designed to be completed over more than one fiscal year. In the event that these screening criteria need to be adjusted, the Companies propose to make such adjustments through a separate filing.

Q. Explain the Companies' proposed eligibility requirements for resources participating in NPA projects.

A. The Companies propose that a resource must be a commercially-proven technology that provides

load relief coincident with the system need, and upon which the Companies can rely on to delay or replace the need for the applicable traditional capital project.

Q. Provide an overview of the Companies' proposed NPA Incentive Mechanism.

A. The Companies propose a shareholder incentive equal to 30 percent of identified societal net benefits, plus or minus 50 percent of portfolio cost savings or overruns, respectively. The Companies propose to cap the incentive at no greater than 50 percent of the societal net benefits, and propose an incentive floor of $0. The Companies propose slightly different mechanisms for large and small NPA projects. The Companies propose to use a streamlined process for small projects based on the calculation of the incentives on a per-Dth basis to recognize the more rapid speed of development for these smaller projects. The Companies propose a more rigorous process for large projects, which would recognize the longer lead time available for projects of this magnitude. For both small and large projects, the Companies

propose adjustment mechanisms to modify the available incentive if an updated needs assessment determines that more or less load relief is required to achieve deferral or replacement of the traditional infrastructure, or if the NPA project will not be able to defer the infrastructure as intended.

Q. Provide an overview of the Companies' proposals regarding recovery of NPA project and incentive costs.

A. The Companies cost recovery proposals are related to three areas: (1) modifications to the Companies' Capital Investment Reconciliation Mechanism; (2) allocation of NPA-related costs to service classifications (SCs); (3) amortization and recovery of NPA-related costs in the Delivery Rate Adjustment surcharge; and (4) roll-in of unrecovered amortized NPA costs into base rates during the Companies' next rate proceedings.

Q. What modifications do the Companies propose to their Capital Investment Reconciliation Mechanism related to NPA projects?

A. To the extent that an NPA project results in the

Companies displacing a capital project reflected in the Average Gas Plant in Service Balances (balance), the Companies propose to reduce the balance to exclude the forecast net plant associated with that capital project. The Companies propose to apply the carrying charges associated with the displaced project as a credit against recovery of NPA-related costs. In the event that those carrying charges are greater than the cost of the NPA project, the Companies propose to defer the difference for the benefit of customers.

Q. How do the Companies propose to allocate NPA costs to the various SCs?

A. The Companies propose to allocate NPA costs to service classifications based on the type of traditional solution the NPA project would defer or eliminate, roughly on the basis of a "beneficiaries pay" principle. Specifically, the Companies propose to allocate peak day need-related NPAs to SCs based on each SC's contribution to Peak Sendout, and propose to allocate daily demand need-related NPAs to SCs based on each SC's contribution to Total Gas

Deliveries.

Q. What do the Companies propose regarding amortization and recovery of these costs?

A. The Companies propose to amortize NPA project costs over 10 years. The Companies propose to begin recovery of these costs through the DRA surcharge as they are incurred. For earned NPA-related incentives, the Companies propose to amortize such incentives, once earned, over the remaining deferral period of the traditional infrastructure. The Companies would begin recovery of such incentives through the DRA surcharge once earned. The Companies propose to include any unamortized costs plus carrying charges in base rates the next time gas base rates are reset instead of continuing to recover NPA project and incentive costs through the DRA surcharge.

Q. Provide an overview of the Companies' proposed reporting requirements for NPA projects.

A. The Companies propose to file a detailed Implementation Plan and Benefit Cost Analysis (BCA) result with the Secretary to the Commission for each NPA project they pursue when

they have reasonable certainty as to the costs of the NPA project. The Companies propose to update the Implementation Plan annually, and may file updates more frequently, as needed. The Companies propose to file updated Implementation Plans outside the typical annual filing: (1) if the amount of load relief required increases or decreases; (2) if the deferral period for the traditional infrastructure project lengthens or shortens; or, (3) when the Companies file to earn incentives under their proposed NPA Incentive Mechanism. The Companies also propose to file an update to the BCA results when the amount of load relief or deferral period are modified.

Q. Did the Companies propose any other reporting requirements?

A. Yes. In addition to the annual updates to each NPA project's Implementation Plan, the Companies propose to summarize all of their active NPA projects annually by January 31 of each year, beginning the first year that the Companies have any active NPA projects. The Companies also propose to file quarterly reports with the

Secretary to the Commission tracking the progress of each NPA project 60 days after the close of each quarter.

Q. Where would the Companies file these reports?

A. All of the reports described above would be filed with the Secretary to the Commission in these proceedings.

Q. What is the Panel's general philosophy with regard to NPAs?

A. We recommend that the Companies be positioned to begin responding to system needs with non-traditional solutions as quickly as possible. Therefore, we recommend that the Commission approve the necessary NPA development processes and cost recovery mechanisms as part of these proceedings. Given the rapid pace of policy developments in the gas business, however, we do not recommend establishing any specific shareholder incentive mechanism at this time, especially since the Companies have yet to identify any potential projects for which they may pursue NPAs. NPA projects, especially a utility's first such project, may take a year or more to develop - even after the utility has

decided to pursue a particular NPA. Any NPA shareholder incentive mechanism approved as part of these cases runs the risk of potentially being out of step with the then-current Commission policy by the time the Companies have developed an actual NPA project proposal.

Q. Does the Panel have any specific recommendations regarding the Companies' NPA-related proposals?

A. Yes. We recommend that the Commission approve the Companies' NPA-related proposals with the exception of the Companies' proposed NPA Incentive Mechanism. Instead of approving the Companies' proposed NPA Incentive Mechanism, the Commission should allow the Companies to file a petition for an appropriate shareholder incentive mechanism concomitantly with the Implementation Plan for the Companies' first NPA project.

Q. Are there benefits to approving NPA development criteria and cost recovery mechanisms in these proceedings, but delaying approval of a shareholder incentive mechanism?

A. Yes. Approving the NPA development criteria and cost recovery mechanisms in these proceedings

will provide the Companies with regulatory certainty with regard to their ability to recover NPA costs. This will eliminate barriers so that the Companies can begin seeking NPA opportunities as soon as possible. While delaying approval of a specific shareholder incentive mechanism might not accelerate the Companies' timeline for pursuing these projects, it will ensure that the shareholder incentive mechanism ultimately approved is consistent with the direction of the Commission's policies regarding the natural gas business in place at that time.

Q. Does this conclude your testimony at this time?

A. Yes.